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VICTORIA MEDVEC

Adam Baxter Company/Local 190 1985 Negotiation Baxter Management Confidential Information¹

It is July 18, 1985, exactly one month prior to the expiration of the contract established in the 1978 labor agreement. In the 1981 wage negotiation between the International AFL/CIO and a number of the food processing companies including Baxter, the base wage rate was frozen at \$10.69. Following significant changes in the industry, wages were renegotiated at nearly all of the food processing companies. In your 1983 negotiations with Local 190, wages were renegotiated and set at x .²

Since your last negotiation, relations between management and labor at the Deloitte plant have been increasingly acrimonious. Preliminary negotiations have produced no movement on either side's part, and little evidence that an agreement will be reached soon. Both sides publicly acknowledge the likelihood of a strike when the current contract expires in August. Local 190 leadership is vocal and antagonistic in its clear "no concessions" stance. They have begun to prepare for a strike by getting finances in place and hiring a New York City public relations firm to tell their side of the story. In anticipation of increased acrimony, management recently purchased \$80,000 of barbed wire to circle the packinghouse, claiming it was needed for protection of the plant and its workers. Part of the tension is due to the specific situation in Deloitte, but part is probably attributable to the climate of labor relations in general—throughout the nation, industrial relations are in turmoil. Some have gone so far as to claim that this era will see the end of organized labor in the United States.

On May 31, 1985, Baxter management announced that if the company and Local 190 have not come to an agreement by the expiration date of the current contract, it will terminate the current contract. Any employer in the United States has the right to terminate a contract when it expires, but

¹ Endnotes (indicated by letters) are summarized in the final case, "Adam Baxter Company/Local 190 Debrief and Endnotes," HBS No. 396-326.

² Use your agreed-upon wage here. If you did not come to an agreement, use the arbitrator's decision: the arbitrator agreed with management that the "me-too" clause was applicable to falling wages as well as to rising wages. Thus, the arbitrator ruled that the base-rate wage be set at \$8.67/hour, calculated by taking the three highest of the competitors' wages and averaging them.

few do so because of the negative impact on bargaining and the likelihood that such a move would precipitate a strike; instead most companies continue to honor the previous contract during contract negotiations. During the early 1980s, with its high unemployment and negative legal climate for labor, unions have been reticent to strike and companies are beginning to terminate contracts with unyielding unions. Baxter's termination of the contract could have three important and very negative effects on Local 190: 1) the 52-week layoff notice requirement would no longer be in place—management could give layoff notices effective at the date of the notice; 2) laid-off workers could lose their right of first refusal on any new jobs; and 3) wages could be set at any rate, determined by management. By law, Local 190 would have the choice of either striking or working under the conditions specified in management's final offer before the contract deadline. If the union struck, Baxter could legally hire replacement workers.

Operations at Baxter have seen some important changes since the end of your last negotiation. The new plant is operating efficiently, and is viewed by many in the industry as the most efficient plant of its type in the world. In the old plant, a team of workers stuffed sausage into casings; in the new plant, one worker slips the casing over a spinning disk as the machine fills and cuts twenty-five sausages every minute. This is but one example, but the entire plant runs this way; a machine manned by one worker now accomplishes in four hours what used to take a group of workers a shift to complete. A computer monitors all the operations in the plant, calculating the most cost-efficient method of fitting production to the currently available supply of meats, vegetables, and other food products.

For two years after the new plant was built, Baxter provided attractive severance packages to motivate old employees to retire while they hired over 350 new employees each year. Because of the rapid rate of hiring, the new employees were trained on the line by others who were just learning the ropes in the new plant. This resulted in two unintended consequences: first, the new employees were quickly introduced to the workers' complaints rather than socialized by management trainers into the wonders of the modern new plant; second, the rate of injuries in the new plant is significantly higher than that in the old plant and higher than the industry average.

The union is quite up-in-arms about the injury rates. They claim the injury rate is 202 injuries per 100 employees. You know this figure is exaggerated, but realized that Deloitte has more workdays lost to injury than Baxter's other plants and than the industry average. You believe most of the injuries result from the employees' inexperience with the different working patterns required by the up-to-date technology of the new facility. The employees who were transferred over from the old plant seem to have trouble adjusting and have been resistant to the changes in work habits that are required by the new methods of production. You agree with top management that the level of injuries will fall as all of the workers become more familiar with new line. The Human Resource group has become involved, distributing a brochure on safety to each of the employees. Some of the so-called injuries will continue, however, as long as Iowa's worker compensation laws continue to provide nearly full wages to workers who file injury reports and stay home "to recover."

The work rules at the new facility are controlled by management, since the production quotas and incentive plans were eliminated in the 1978 contract negotiation. Your superiors realize that some of the rules have received a negative response from a fraction of the employees. For example, because the new lines run continuously, it is necessary that all stations be manned at all times. This, in turn, simply means that if an employee must leave the line, he or she needs to let a supervisor know so that a replacement can be called. There has been grumbling about this rule, as well as other rules, but it's generally coming from just a few employees, and you feel the dissension will gradually disappear as everyone gets used to the new method of production and the changes in work habits that it requires.

One other point of friction with the union is their perception that employees in the new plant are working harder for less money. First of all, they're not working harder: it's true that the plant produces end-products more efficiently, but the new line has made most of the employees' tasks much easier. Only a few positions on the line have to work as hard as nearly all the employees used to. Second, take-home pay is not falling as the union claims—it is remaining constant due to the provisions of the 1978 contract. The incentive program has not been reinstated, but employees who were carried over from the old plant still receive money out of the escrow account to bring their take-home pay up to the level it was before the incentive program was eliminated. It is only new workers who do not receive escrow account payments.

Baxter's experience with the new plant and the growing unrest of the workers in Deloitte place a lot of pressure on you to do well in this negotiation. As you prepare with the two other members of your team, you realize there are a number of issues that must be negotiated into the new contract. These include layoff and hiring procedures, incentive pay, work rules, and wages discussed in detail below:

Layoff And Hiring Procedures

Since the 1978 negotiation, Baxter has provided generous retirement packages to urge veteran employees to leave the company. This was necessary because of the efficiencies in the new plant. It has worked well and additional layoffs have not been required. Rather than try to find busy work and filler jobs for people whose jobs were eliminated through efficiencies in the new facility, you have been able to trim down to a lean, less costly workforce.

When new hiring has been done, you have hired rookies who are eager to work at the relatively high wages you offer, and who do not bring with them the complaints and grudges of veteran employees. While retirements have made this possible to date, you realize that in the future layoffs may be necessary. You would like to retain full management control over hiring and firing. It is archaic to have a 52-week layoff notice requirement in the current contract.

This is likely to be an important issue for the union, so top management has decided that they could make some concessions. They are willing to grant some grace period with layoff notices, and they are willing to have some percentage of new positions filled from layoff lists, but 50% is as high as they want to go.

There may also be some discussion of laying off only by seniority. This is difficult and expensive to administer, and restrains management flexibility. You are convinced that there is some way to have the union take over the difficult administrative work involved in layoffs, but you're not willing to have 100% of layoffs determined by seniority. Some of the best employees are relatively new, and some of the toughest to deal with have been around forever.

Controlling hiring decisions is more important to top management than controlling layoff decisions. No one likes to lay people off, and the company tries to avoid it whenever possible. But hiring is how a company grows and changes, and top management feels they must retain flexibility in this area.

Incentive Program

The rationale behind eliminating the incentive program in the 1978 negotiation was that the new plant would have very different operating speeds and procedures from the old plant, making it impossible to define acceptable production levels before the new facility was completely operational. While the plant has been open for years now, and labor may argue that plenty of information about production and profit levels is available, anyone looking closely at the numbers realizes that the recent rise in profits is largely due to management's ability to adjust production and increase the pace of the line as new orders come in. Moving back to a production quota and incentive payments for anything above that quota will no doubt pull Baxter right back down again.

In addition, in the old plant each line did the same job day after day, year after year. It was simple to calculate what a given level of line production would require from any individual employee. But in the new plant each line produces multiple products, and the products change, sometimes as often as five times in one week. While it might be possible to set overall production quotas for the plant, it's unclear how those would be translated to individual lines and individual employees' responsibilities on the lines.

Top management feels strongly that the loss in control required by an incentive system is unacceptable. Any quota/incentive plan takes away management's flexibility. This is a very important issue to top management. But, if the union also feels this is a very important issue and demands some movement, perhaps the best thing to do would be to design a new type of system that gives both management and labor some control and some benefits. Giving up speed and flexibility so that employees can rest all afternoon, like they used to in the old plant, and getting nothing in return, is not an option.

Work Rules

One of the big problems with giving at all on the question of an incentive plan is that the union is likely to link that issue with the elimination of work rules. In the old plant, management-mandated work rules were essentially only those required by law. Employees pretty much worked in whatever manner they wished, as long as the quotas were met. Different groups worked in very different ways, and there was little crossover between lines. The new plant requires that employees be trained in multiple positions, and at multiple tasks in one position, since the line produces different products at different times. Given this complexity, there is no way to predict all of the work rules that may be needed over the term of the contract.

You have discussed this with top management, and you don't see an alternative to maintaining full control over work rules. The objective is to continue the current level of production and maintain management flexibility. It would be difficult to do this without the power to establish work rules.

Wages

In the last contract negotiation, you agreed to a wage rate of x . (See footnote 1.) Baxter is still paying among the highest wages in the industry. Neither you nor top management sees a need to increase wages when your labor costs are already so high. Top management has privately conceded they're willing to pay more, but only on the condition that they retain full control over hiring and layoff decisions, production levels, and working rules. (See **Exhibit 1** for Baxter financial summary.)

Summary

Baxter's Chief Counsel expressed his views of the alternatives if a new contract were not signed:

...we could shut down the plant completely; we could try to run the plant with management employees on a reduced basis. We could hire temporary replacements for strikers who elect to stay out, or we could hire permanent replacements for strikers who elect to stay out, any combination of these things.^f

You believe it is possible to negotiate a contract that will provide Baxter with a reasonable income, hiring and layoff flexibility, and a positive, efficient work place. But if you cannot reach such a contract, top management has said they are willing to lock out the employees. The result would be a lot of bad press, but it would also mean hiring non-union employees at up to \$5.00/hour less than you currently pay your employees. You don't want to go to a lockout: for the last 50 years, Baxter has been a model of positive management/labor relations and you'd like to keep it that way. However, a lockout is better than agreeing to a contract that takes profit and flexibility away from Baxter.

Exhibit 1 Financial Summary: Adam Baxter Company and Subsidiaries (in thousands of dollars)

	1985 ^a	1984	1983	1982	1981 ^b	1980	1979	1978	1977	1976 ^b	1975
Operations											
Net Sales	\$1,502,235	\$1,454,527	\$1,417,705	\$1,426,596	\$1,433,966	\$1,321,966	\$1,414,016	\$1,244,865	\$1,106,274	\$1,094,832	\$995,593
Net Earnings	38,618	29,492	27,897	28,051	27,283	32,758	29,970	20,039	21,951	14,717	13,366
Percent of Sales	2.57%	2.03%	1.97%	1.97%	1.90%	2.48%	2.12%	1.61%	1.98%	1.34%	1.34%
Wage Costs	233,512	241,210	250,724	269,964	270,522	254,303	233,878	200,631	191,719	179,588	167,049
Total Taxes	40,500	30,394	28,483	22,805	18,796	28,077	27,635	18,431	23,276	14,127	13,102
Depreciation	28,087	27,056	26,410	17,587	13,887	13,452	12,102	11,551	11,313	10,697	9,140
Financial Position											
Working Capital	\$ 152,985	\$ 106,332	\$ 95,403	\$ 69,527	\$ 59,440	\$ 69,843	\$ 84,646	\$ 89,298	\$ 79,253	\$ 63,957	\$ 64,350
Properties (net)	264,679	263,929	270,103	276,684	228,813	160,825	119,213	103,992	99,921	97,465	85,398
Total Assets	560,939	525,322	512,559	488,859	425,065	355,853	323,149	275,442	258,283	228,585	224,488
Stockholders' Investment	311,605	283,362	263,861	245,570	226,741	208,296	183,608	166,870	153,363	136,792	126,879
Per Share of Common Stock^c											
Net Earnings	\$ 2.01	\$ 1.53	\$ 1.45	\$ 1.46	\$ 1.42	\$ 1.70	\$ 1.56	\$ 4.17	\$ 4.57	\$ 3.06	\$ 2.78
Dividends	0.54	0.52	0.50	0.48	0.46	0.42	0.37	1.36	1.12	1.00	0.92
Stockholders' Investment	16.22	14.75	13.73	12.78	11.80	10.84	9.56	34.74	31.93	28.48	26.42

a)Projected; based on 4 month actual.

b)53 Weeks.

c)Figures per share for all periods presented have been restated to give effect for the two-for-one stock split which occurred during the year.